Week 9

What are the rights and responsibilities of a consumer, under the consumer protection act, 1986.

Introduction and Historical Background

The **Consumer Protection Act, 1986** was a watershed legislation in the socio-economic history of independent India. Prior to its enactment, consumer redressal in India was governed by traditional, fragmented, and cumbersome legal remedies such as the Indian Contract Act, 1872, the Sale of Goods Act, 1930, and the Monopolies and Restrictive Trade Practices (MRTP) Act, 1969. These mechanisms primarily focused on punitive or civil damages through regular civil courts, which were notoriously slow, expensive, and inaccessible to the average consumer facing exploitation in an increasingly commercialized marketplace.

Recognizing the acute imbalance of power between large corporate manufacturers, service providers, and individual consumers, Parliament enacted the Consumer Protection Act in **December 1986** (coming into force on April 15, 1987). The primary objective of the Act was to provide for **better protection of the interests of consumers** and to establish a robust, speedy, and inexpensive quasi-judicial machinery for the settlement of consumer disputes.

Note on Subsequent Evolution: Although the 1986 Act served as the bedrock of modern Indian consumer jurisprudence for over three decades, it was eventually repealed and replaced by the comprehensive **Consumer Protection Act, 2019**, to address modern market realities like e-commerce, direct selling, and digital advertising. However, the foundational rights and responsibilities articulated in the 1986 statute remain the core pillars of consumer welfare law in India.

Scope and Key Definitions Under the Act

To fully appreciate the rights and responsibilities of consumers, one must examine the legal scope of the Act and how it defines the primary participants in commercial transactions.

1. Territorial Extent and Applicability

- The Act extends to the **whole of India**.
- It applies to **all goods and services**, unless specifically exempted by the Central Government. It covers the private, public, and cooperative sectors alike.

2. Who is a "Consumer"? (Section 2(1)(d))

The definition of a consumer under the Act is broad and bifurcated into two main categories:

- **Buyer of Goods:** Any person who buys any goods for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment. This includes any user of such goods other than the person who buys them, provided such use is made with the approval of the buyer.
- *Exclusion:* A person who buys goods for **commercial resale or business purposes** is *not* a consumer. However, purchasing goods for self-employment to earn a livelihood is expressly included.
- **Hirer/User of Services:** Any person who hires or avails of any services for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred

payment. This includes any beneficiary of such services other than the person who hires them, provided the service is availed of with the approval of the first-mentioned person.

3. Other Crucial Definitions

- **Goods (Sec. 2(1)(i)):** Every kind of movable property other than actionable claims and money.
- **Service (Sec. 2(1)(o)):** Service of any description which is made available to potential users and includes, but not limited to, the provision of facilities in connection with banking, financing, insurance, transport, processing, supply of electrical or other energy, board or lodging, entertainment, amusement, or the purveying of news. It excludes rendering of service free of charge or under a contract of personal service.
- **Defect (Sec. 2(1)(f)):** Any fault, imperfection, or shortcoming in the quality, quantity, potency, purity, or standard which is required to be maintained by or under any law for the time being in force.
- **Deficiency (Sec. 2(1)(g)):** Any fault, imperfection, shortcoming, or inadequacy in the quality, nature, and manner of performance which is required to be maintained by or under any law or has been undertaken to be performed in pursuance of a contract.
- **Unfair Trade Practice (Sec. 2(1)(r)):** A trade practice which, for the purpose of promoting the sale, use, or supply of any goods or services, adopts any unfair method or unfair or deceptive practice (such as false representations, misleading advertisements, hoarding, or refusal to issue cash memos).

The Six Fundamental Rights of a Consumer

Section 6 of the Consumer Protection Act, 1986, explicitly enumerates **six fundamental rights** available to every consumer. These rights are designed to empower individuals against market malpractices and ensure fair dealing.

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| SIX FUNDAMENTAL CONSUMER RIGHTS |

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1. Right to Safety
2. Right to be Informed
3. Right to Choose
4. Right to be Heard
5. Right to Seek Redressal

6. Right to Consumer Education

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1. Right to Safety (Section 6(a))

- **Definition:** The right to be protected against the marketing of goods and services which are hazardous to life and property.
- **Application:** Consumers have the right to demand that products—particularly electrical appliances, food items, pharmaceuticals, and automobiles—meet rigorous safety and quality standards before hitting the market.
- **Safeguards:** This right encourages consumers to look for quality certification marks such as **ISI, AGMARK, Hallmark, and FSSAI** certification, ensuring that goods will not cause physical harm during normal usage.

2. Right to be Informed (Section 6(b))

- **Definition:** The right to be informed about the quality, quantity, potency, purity, standard, and price of goods or services, as the case may be, so as to protect the consumer against unfair trade practices.
- **Application:** Manufacturers and service providers must disclose complete and transparent details on product packaging, labels, or service agreements.
- **Required Disclosures:** Ingredients used, manufacturing and expiry dates, maximum retail price (MRP), net weight, batch number, directions for use, and potential side-effects or risks. This right prevents deception through misleading claims or hidden costs.

3. Right to Choose (Section 6(c))

- **Definition:** The right to be assured, wherever possible, access to a variety of goods and services at competitive prices.
- **Application:** Consumers cannot be forced or coerced into purchasing a particular brand, product, or service. Monopolistic practices, forced bundling (where a seller forces a buyer to purchase unwanted item 'B' in order to buy item 'A'), and artificial restriction of choice are violations of this right. It guarantees a free, competitive market environment.

4. Right to be Heard (Section 6(d))

- **Definition:** The right to be heard and to be assured that consumer interests will receive due consideration in appropriate forums.
- **Application:** Consumers have the right to register complaints, voice grievances, and lodge feedback regarding sub-standard goods or deficient services with manufacturers, consumer associations, or regulatory authorities. Furthermore, it guarantees that when a consumer approaches a forum, their point of view will be listened to and evaluated fairly.

5. Right to Seek Redressal (Section 6(e))

- **Definition:** The right to seek redressal against unfair trade practices or restrictive trade practices or exploitation of consumers. It also includes the right to a fair settlement of genuine claims.
- **Application:** If a product is defective or a service is deficient, the consumer has the legal right to demand remedies—such as **replacement of the product, repair of defects, refund of money, or compensation for physical, mental, or financial loss**. The three-tier quasi-judicial machinery (District Forum, State Commission, National Commission) exists primarily to enforce this right.

6. Right to Consumer Education (Section 6(f))

- **Definition:** The right to acquire the knowledge and skill to be an informed consumer all through life.
- **Application:** Ignorance is the consumer's greatest enemy. This right places an obligation on the state and consumer advocacy groups to promote consumer awareness through public campaigns (such as the famous *"Jago Grahak Jago"* initiative), media broadcasts, school curricula, and workshops so that citizens understand their statutory protections and remedies.

Responsibilities and Duties of a Consumer

Rights and responsibilities are two sides of the same coin. For the consumer protection framework to function effectively, consumers must exercise diligence and adhere to certain core responsibilities.

1. Exercise Critical Awareness

- Consumers must be vigilant and question the quality, price, and utility of goods and services they intend to purchase, rather than blindly believing flashy advertisements or peer recommendations.

2. Demand Proof of Transaction (Cash Memo and Bill)

- A consumer must **always insist on obtaining a cash memo, invoice, or proper receipt** at the time of purchase.
- *Legal Significance:* A cash memo serves as the primary documentary evidence of the contract of sale, proof of the purchase price, and the date of acquisition. Without a bill, it is extremely difficult for a consumer to legally establish their status as a consumer before a consumer forum.

3. Verify Quality Certification Marks

- When purchasing goods, consumers have a responsibility to check for standardized quality certification marks (such as **ISI** for industrial/electrical goods, **AGMARK** for agricultural products, **Hallmark** for gold jewellery, and **FSSAI** for food products) to ensure safety and standard compliance.

4. Read Labels and Instructions Carefully

- Before using a product, consumers must read instruction manuals, ingredient lists, safety warnings, and expiry dates. Using a product contrary to manufacturer guidelines can nullify claims of product defect or liability.

5. Ensure Honest and Fair Dealings

- Consumers must behave ethically. They should not engage in fraudulent warranty claims, exaggerated demands for compensation, or malicious complaints against honest traders and service providers.

6. File Genuine and Timely Complaints

- If a product is defective or a service is deficient, the consumer should take prompt action. Under the 1986 Act, a complaint must be filed within **two years** from the date on which the cause of action arose. Consumers have a duty to file truthful complaints with accurate documentation rather than ignoring minor grievances or resorting to illegal retaliation.

Quasi-Judicial Redressal Machinery Under the 1986 Act

To enforce these rights and ensure accountability, the 1986 Act established a specialized, cost-effective, three-tier quasi-judicial consumer dispute redressal structure:

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|                THREE-TIER CONSUMER REDRESSAL SYSTEM         |
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|                      1. District Forum                      |
|  * Jurisdiction: Claims up to a specified monetary limit.   |
|                2. State Consumer Disputes Redressal Commission |
|  * Jurisdiction: Intermediate claims + Appeals from Dist.   |
|                3. National Consumer Disputes Redressal Commission (NCDRC) |
|  * Jurisdiction: High-value claims + Appeals from State     |
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1. **District Forum:** Established by state governments in each district. It handles complaints where the value of goods or services and the compensation claimed is up to the statutory pecuniary limit prescribed under the Act.
2. **State Commission:** Established by state governments at the state level. It entertains complaints exceeding the district limit up to the state limit, and hears appeals against the orders of District Forums within the state.
3. **National Commission:** Established by the Central Government at the national level (New Delhi). It handles complaints exceeding the state pecuniary threshold and hears appeals against orders passed by State Commissions.

Nature of Reliefs Granted (Section 14)

Upon establishing a defect in goods or deficiency in services, consumer forums are empowered to issue wide-ranging orders, including:

- To remove the defect pointed out by the appropriate laboratory.
- To replace the goods with new goods of similar description which shall be free from any defect.
- To return to the complainant the price or, as the case may be, the charges paid by the complainant.
- To pay such amount as may be awarded by way of compensation to the consumer for any loss or injury suffered.

- To remove hazardous goods from being offered for sale or to cease manufacture of hazardous goods.

Summary and Conclusion

The Consumer Protection Act, 1986, revolutionized consumer jurisprudence in India by shifting the ancient legal burden from *"Caveat Emptor"* (Let the buyer beware) to *"Caveat Venditor"* (Let the seller beware). By legally codifying the **six fundamental rights**—Safety, Information, Choice, Redressal, Hearing, and Education—the legislation transformed the ordinary consumer from a vulnerable victim of market exploitation into an empowered stakeholder in the economy.

Simultaneously, the Act emphasizes that consumer empowerment cannot exist in a vacuum; it requires active cooperation through **consumer responsibilities**, such as demanding cash memos, verifying quality certifications, reading product labels, and filing timely, truthful grievances. Together, these rights and responsibilities ensure a fair, transparent, and balanced commercial ecosystem that protects consumer welfare while encouraging healthy market competition.